Financial Analysis of

# *Flight Centre*


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z5681838 *Viranoukone Thirakul*

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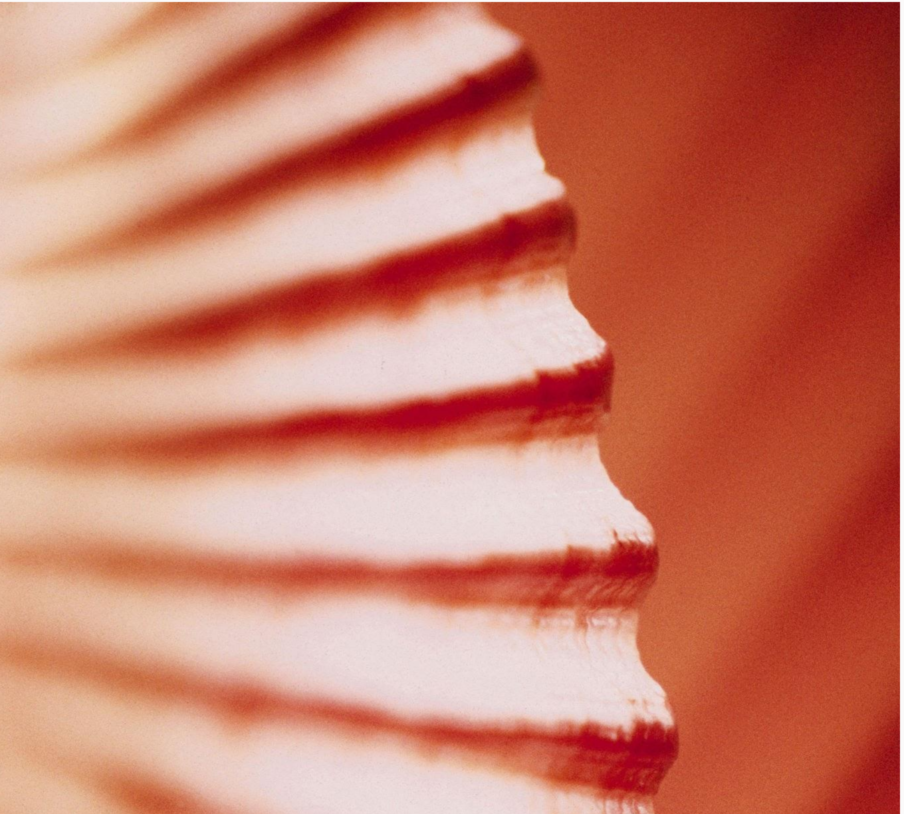
# Agenda



01 Business Overview

02 Financial Performance and Position

03 Risks and Future Performance

04 Comparable Company Analysis

05 Final Statement


# *Business Overview*

Provides leisure and corporate services

Revenue from service fees

Specialised through other brands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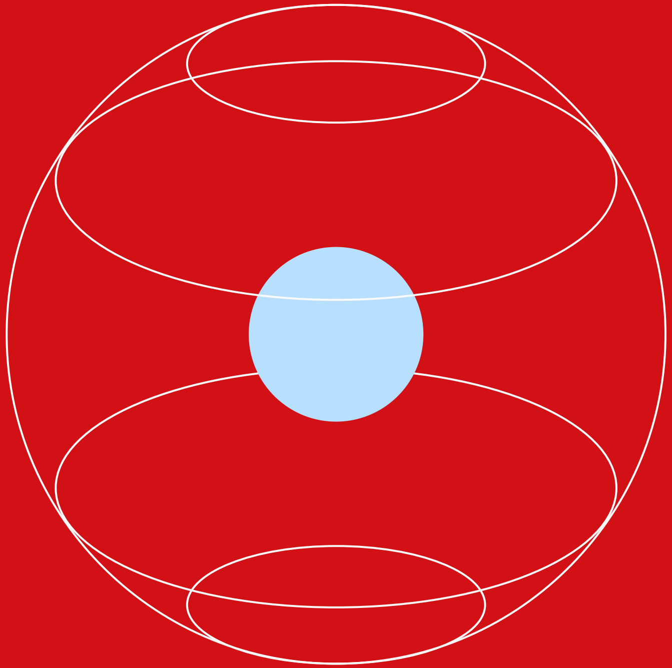
Provides leisure and corporate services

Revenue from service fees

Specialised through other brands

# *Financial Performance and Position*



We analysed Flight Centre using key ratios for the last three years, and compared this with the general industry to evaluate its financial position and performance.

# *Revenue Growth & Profit Margin*

Net Profit Margin measures final profitability – critical for debt repayment capacity.

| (AUD '000) | 2023 | 2024 | 2025 | Trend |
|---|---|---|---|---|
| Total Revenue | 2,281 | 2,711 | 2,784 | ↑ |
| Revenue Growth | – | +18.9% | +2.7% | ↓ |
| Net Profit Margin | 10.85% | 5.13% | 3.89% | ↓ |

**Strong Growth**

- Total revenue increased from 2,280,782 (2023) to 2,783,944 (2025)

**Declining Profit Margin**

- Profit margin declined for two consecutive years from 10.85% to 3.89%

## *Business Implications*

Cost of revenue (ticket costs / commissions) grew faster than revenue

Faced unique tax pressures: tax provision increased from $23M (2023) to $104M (2025)

Geopolitical influence: Middle East tensions reduced travel demand

# *Profit Margin - Peer Comparison*


| Profit margin | 2023 | 2024 | 2025 |
|---|---|---|---|
| Flight Centre | 10.85% | 5.13% | 3.89% |
| Helloworld Travel | 10.80% | 15.29% | 15.76% |

## Analysis of Peer

### *Flight Centre*

Tax provision increased from $23M to $104M

Slowing revenue growth (18.9% in 2024 → 2.7% in 2025)

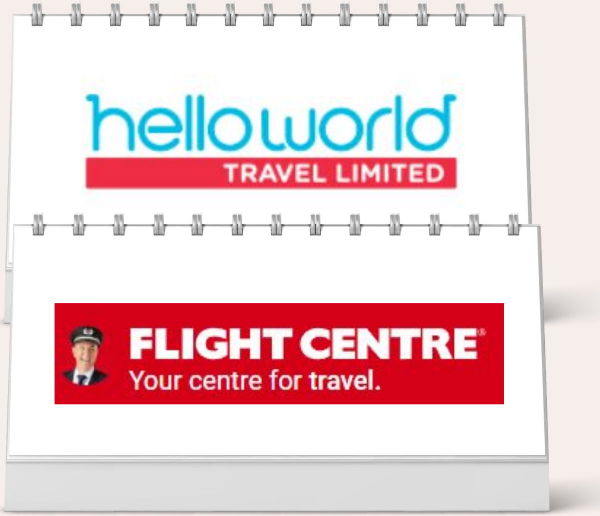
US leisure bookings dropped 11% in Q4 2025

Asia corporate business posted a $22 million loss

### *Helloworld*

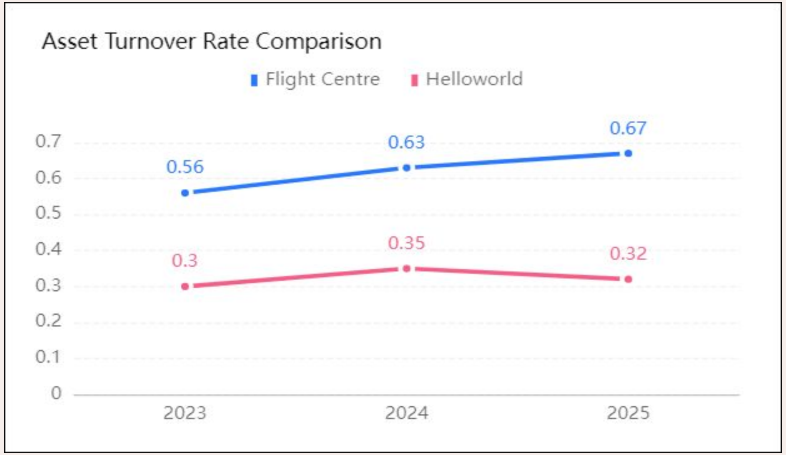
No similar tax pressure reported

Both faced same inflation/labour market, but Hellworld managed better



# *Operating Efficiency*

*Asset Turnover & Receivables Turnover*




| Year | Receivables Turnover | Asset Turnover |
|---|---|---|
| 2023 | 2.73 | 0.56 |
| 2024 | 3.15 | 0.63 |
| 2025 | 3.10 | 0.67 |

- Flight Centre's Asset Turnover gradually increased from 0.56 (2023) to 0.67 (2025).
- **Higher turnover = better use of borrowed money**
- Helloworld's ratio remains lower and flat (~0.30-0.35)
- This suggests Flight Centre manages its asset base **more efficiently** than its peer

- Receivables turnover improved from 2.73x to 3.15x, then declined slightly to 3.10x (2025)
- **Slower collection = cash tied up in receivables = reduced debt service capacity**
- This is a red flag – **Profit still exists, but did not turn into cash**

# Assessment for Financial Performance

| Dimension | Rating | Justification |
|---|---|---|
| Profitability | 🟡 Moderate Risk | Margins declining; net margin well below peer |
| Efficiency | 🟢 Low Risk | Asset turnover superior to peer and improving; Receivables turnover needs attention |
| Peer Position | 🟡 Mixed | Wins on efficiency; loses on profitability |

**Profitability:** Helloworld had overall higher profitability with a steady growth
**Efficiency:** Flight Centre is more efficient in asset utilization and keep improving over 3 years

**Profitable but cash flow is the weak spot**

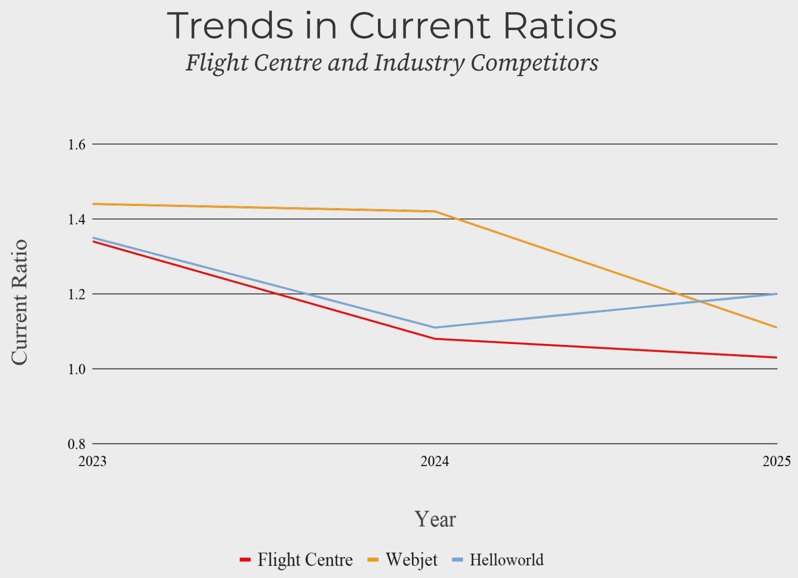
- Monitor working capital and receivables quarterly
- Consider lower loan amount until cash flow recovers

# *Current Ratio*

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

| Year | Flight Centre | Webjet | Helloworld |
|---|---|---|---|
| 2025 | 1.03 | 1.11 | 1.2 |
| 2024 | 1.08 | 1.42 | 1.11 |
| 2023 | 1.34 | 1.44 | 1.35 |

*Current Ratios for the last 3 financial years for Flight Centre, Webjet, and Helloworld Travel*

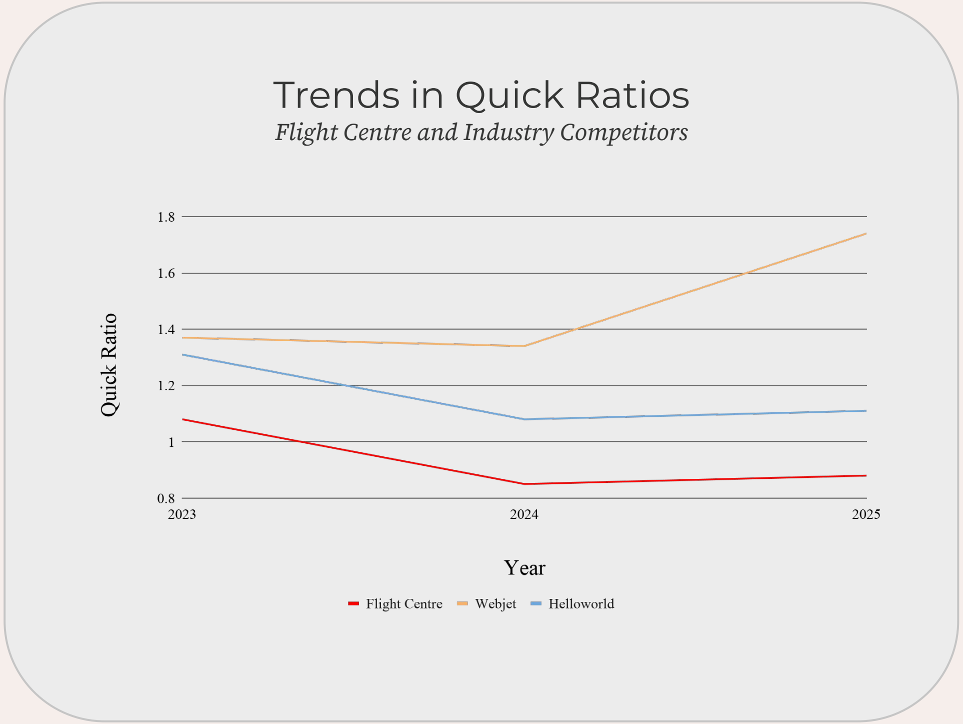


# Quick Ratio

$$\text{Quick Ratio} = \frac{\text{Current Assets} - \text{Inventory}}{\text{Current Liabilities}}$$

| Year | Flight Centre | Webjet | Helloworld |
|---|---|---|---|
| 2025 | 0.88 | 1.74 | 1.11 |
| 2024 | 0.85 | 1.34 | 1.08 |
| 2023 | 1.08 | 1.37 | 1.31 |

*Quick Ratios for the last 3 financial years for Flight Centre, Webjet, and Helloworld Travel*



# *Debt to Equity Ratio*

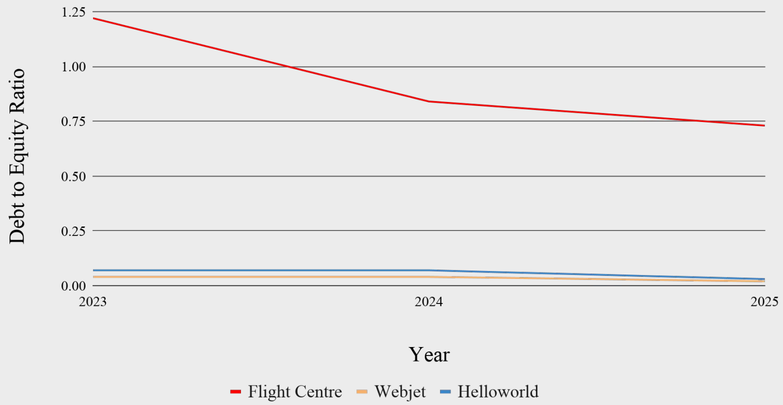
$$\text{Debt to Equity Ratio} = \frac{\text{Total Debt}}{\text{Total Shareholder's Equity}}$$

| Year | Flight Centre | Webjet | Helloworld |
|---|---|---|---|
| 2025 | 0.73 | 0.02 | 0.03 |
| 2024 | 0.84 | 0.04 | 0.07 |
| 2023 | 1.22 | 0.04 | 0.07 |

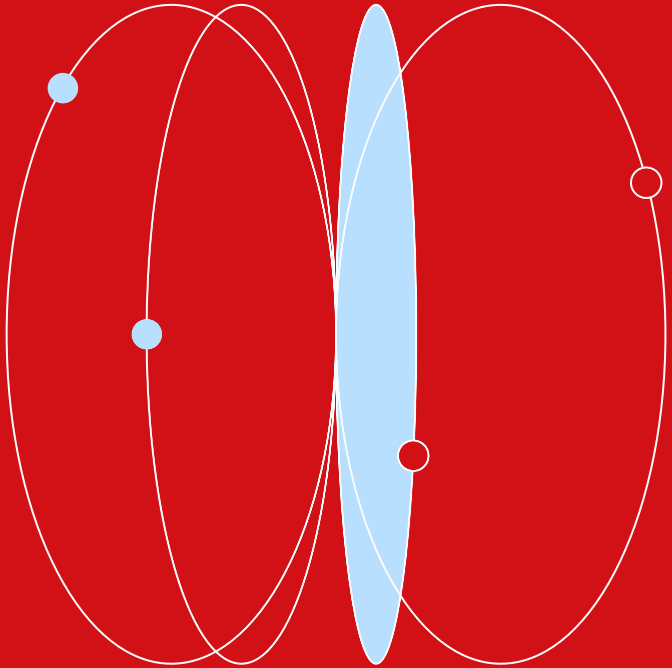
*Debt to Equity Ratios for the last 3 financial years for Flight Centre, Webjet, and Helloworld Travel*

Trends in Debt to Equity Ratios

*Flight Centre and Industry Competitors*



# *Risks and Future Performance*



Looking at risks from key management personnel provides insight into future financial performance and position, importantly affecting future profitability.

# *Geopolitical and macroeconomic factors*

- Increased inflation
- Higher interest rates
- Potential international conflict

- Less consumer confidence
- Decrease in demand for travel
- High volatility in travel market

> "Although travel demand remains resilient, consumer caution in spending on travel and business cost-cutting measures are noticeable.

*Graham Turner*
*Managing Director and Chief Executive Officer*

# *Risks to Financial Performance*

## Risk: Geopolitical Tension

Middle east tensions →

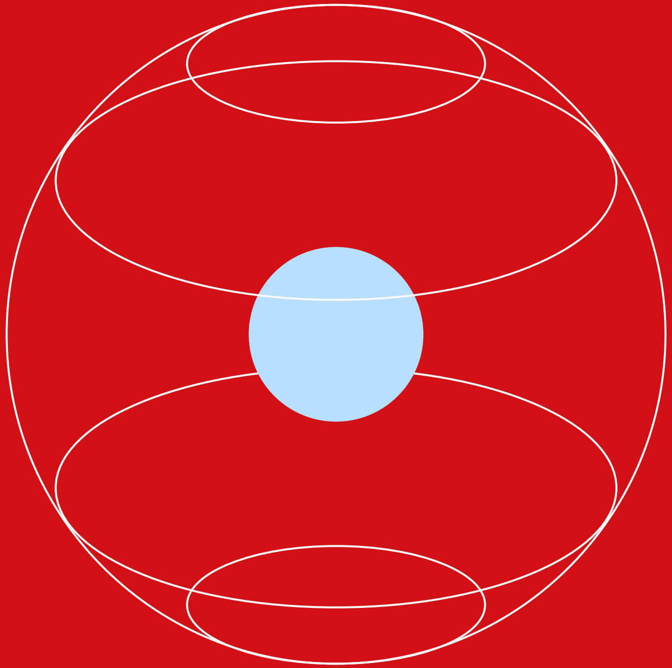
- → price of energy and fuel ↑ → COGS ↑ → Net Profit Margin ↓
- → Panic and demand for travel ↓ → Asset Turnover ↓
- → Difficulty for clients ↑ → Receivables Turover ↓

# *Risks to Financial Performance*

↓ Revenue → ↓ Profit margin → ↓ Profitability

$$\frac{\downarrow \text{Net income}}{\text{Total assets}} = \downarrow \text{Return on assets}$$

# *Comparable Company Analysis*



Valuation of Flight Centre using Firm and Equity multiples calculated from financial data of comparable companies

# *Finding Comparables*

To find comparable companies for analysis, we developed the following criteria

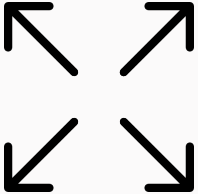
## *Industry*

Comparable companies should be in the same industry and provide similar goods and/or services, in this case similar travel firms should be used.

## *Geography*

Travel is highly dependent on regional factors, and hence all selected companies should operate in the same regions to Flight Centre including Australasia, Europe, and the United States.

## *Scale*



The scale of each company needs to share a similar operational size and enterprise value to ensure accurate firm and equity multiples.

# *Selected Comparables*

## Corporate Travel Management

(ASX: CTD)

An end-to-end corporate travel management company that handles flight bookings, hotel reservations, ground transport, and expense management for businesses, supported by proprietary technology and dedicated account managers.

## Helloworld Travel

(ASX: HLO)

A travel distribution company operating across retail, wholesale, and inbound sectors, selling international and domestic travel products and services through a large franchise and independent agent network.

## Webjet

(ASX: WEB)

An online travel agency where consumers can search, compare, and book flights, hotels, holiday packages, car hire, and travel insurance, primarily serving the Australian and New Zealand markets.

# *Comparisons*

| Company | Business model | Enterprise Value | EBITDA | Total assets | Total liabilities |
|---|---|---|---|---|---|
| FLT | Leisure + corporate travel agency | 2.76B | 259.09M | 4,109,075 | 2,885,449 |
| CTD | Corporate travel management | 2.24B | 92.86M | 1,643,103 | 452,411 |
| HLO | Leisure travel agency franchise | 156.97M | 35.68M | 568,149 | 227,140 |
| WEB | Online travel platform | 671.19M | 99.80M | 1,525,100 | 950,000 |

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# *Equity Multiple*

Price-to-Sales

*Revenue is generally less volatile than earnings*

*Handles thin or negative profit margins*

*Captures scale and market share*

$$\text{Market Cap} = \text{Share Price} \times \text{Shares Outstanding}$$

$$\text{P/S Ratio} = \frac{\text{Market Cap}}{\text{Revenue}}$$

$$\text{Implied Market Cap} = \text{P/S Ratio} \times \text{Target Revenue}$$

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# *Equity Multiple*

| | FLT | CTD | HLO | WEB |
|---|---|---|---|---|
| Market Cap. | 2,240 | 2,280 | 240.61 | 939.49 |
| Revenue | 2,860 | 688.49 | 196.44 | 362.6 |
| Price/Sales | | 3.31 | 1.22 | 2.59 |
| Implied Market Cap. | | 9,471 | 3,503 | 7,410 |

*Dollar amounts in A$M, market cap. and revenue as ttm.*

## Range

Min
$3,503M

Max
$9,471M

# *Equity Multiple*

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$3,503M

Max
$9,471M

# *Firm Multiple*

EV/EBITDA

- *Accounts for different financing structures*
- *Reduces impact of depreciation caused variance*
- *Allows comparisons between online and physical models*

$$\text{Implied EV} = \frac{\text{EV}}{\text{EBITDA}} \times \text{Target EBITDA}$$

# *Firm Multiple*

| | FLT | CTD | HLO | WEB |
|---|---|---|---|---|
| EV | 2,760 | 2,240 | 169.97 | 671.19 |
| EBITDA | 259.09 | 92.86 | 35.68 | 99.8 |
| EV/EBITDA | | 24.12 | 4.40 | 6.73 |
| Implied EV | | 6,249 | 1,140 | 1,742 |

*Dollar amounts in A$M, market cap. and revenue as ttm.*

## Range

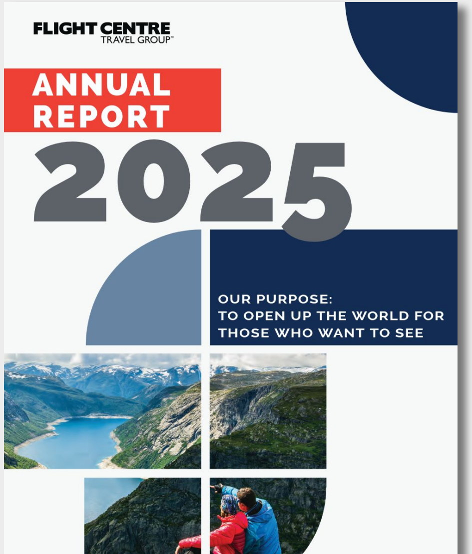
Min
$1,140M

Max
$6,249M

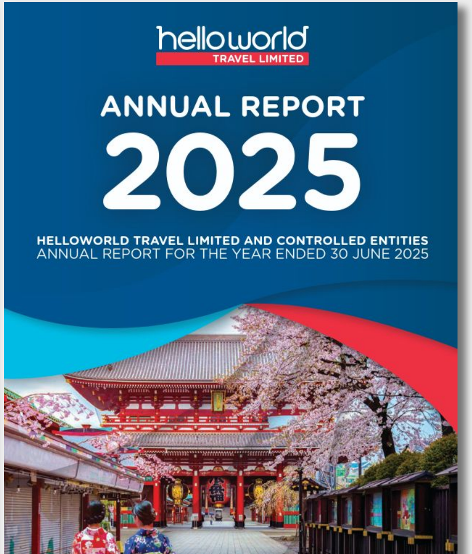
# *Data references*

Stock information was sourced from Yahoo Finance
Other financial data was sourced from the following reports:

*Note: CTD was unable to publish a 2025 financial report due to ongoing investigations in revenue reporting*








# *Implied Valuation Ranges*

## P/S Range

Min
$3,503M

Max
$9,471M

## EV/EBITDA Range

Min
$1,140M

Max
$6,249M

# *Implied Valuation Ranges*

## P/S Range

| Min | Max |
|---|---|
| $3,503M | $9,471M |

## EV/EBITDA Range

| Min | Max |
|---|---|
| $1,140M | $6,249M |

# *Implied Valuation Ranges*

## P/S Range

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$3,503M

Max
$9,471M

## EV/EBITDA Range

Min
$1,140M

Max
$6,249M

*Final*

# Decision

We have come to the conclusion that we would not recommend further funding for the Flight Centre Trade Group in the short term